

**SAMPLE/DRAFT Communication to Participant
(To Be Placed On Company Letterhead)**

Dear <Participant Name>

We are writing to let you know that <\$0.00> will be withdrawn from your plan account due to the failure of the plan's Actual Contribution Percentage (ACP) nondiscrimination testing for the 2026 plan year. This amount includes a refund of <\$0.00> which is your own employee contributions and may also include employer contributions, plus earnings.

Sources of money included within the ACP test are:

- employee post-tax contributions (i.e. voluntary after tax) - ACP
- employer matching contributions - ACP
- match forfeitures allocated for the plan year - ACP

What does failing the ACP nondiscrimination testing mean to you as a participant?

1. The excess contributions must be removed from your account.
2. If applicable, attributable match must be forfeited and removed from your account.
3. The excess amount refunded to you will be taxed to you in the year of distribution.
4. The distribution is subject to a 10% federal income tax, unless waived by completing a Form W-4R indicating you do not want taxes withheld or you want a different amount withheld.
5. The distribution is not subject to the following:
 - a. 20% mandatory tax withholding; or
 - b. the additional 10% tax if you are under age 59½.
6. The distribution is not eligible for rollover to another qualified plan or IRA.
7. You will receive a Form 1099-R for the calendar year in which the refund was made.

If you have any questions, please contact me.

